rates. It gives grants to cooperative banks in the state.

Now, the intermediation of these banks is abolished by a memorandum of under-standing between RBI and these banks. Now, RBI has direct dealing with low tier cooperative banks.

Central (or District) Cooperative Bank

This cooperative bank operates at district level. Its operational area is limited to one district. There are two types of Central (or District) Cooperative Banks.
They are:

a. Cooperative Banking Union
b. Mixed Central Cooperative Bank

The membership of Cooperative Banking Union is open only to cooperative societies. But, the membership of Mixed Central Cooperative Bank is open both to cooperative societies and individuals.

The Central (or District) Cooperative Banks get loan from SCBs (State Cooperative Bank). They grant loans to PACs (Primary Agricultural Credit Societies) and individuals.

Primary Agricultural Credit Societies

These cooperative banks operate at village level. They provide short term loan to agriculture (one year, sometimes three years). PACs give loans to its members that are individuals.

Long Term Structures

Long term structures lend to meet medium and long term fund requirements. It ranges from one and a half years to 25 years. They lend for land development, construction of wells, purchase of pump